

Stock mutual funds can be divided into two basic categories. The vast majority are **actively managed funds**, which means a fund manager uses his or her own judgment to pick and choose among the thousands of stocks available. The other major type is an **index fund**. An index fund invests in nearly all the stocks that make up a particular index, such as the S&P 500. Some people refer to index funds as **unmanaged** or **passively managed** since the fund manager doesn't pick which stocks go into the fund. With an index fund, the manager's job is simply to come as close as possible to matching the performance of the index it tracks.

I recommend that you go with an index fund. A number of studies suggest that over long periods of time, stock funds managed actively by "expert" fund managers do no better on average than passively managed index funds. (In his extensive research on this topic, for example, Burton Malkiel, Princeton economics professor and author of the classic finance book *A Random Walk Down Wall Street*, has found that most active managers have underperformed the S&P 500 in the long run.)

But in an actively managed fund, you'll pay much more in fees for the fund manager. Most index funds will provide you with the same or better diversification and allow you to participate in the (historically higher) returns associated with the stock market without paying too much.

This is not to say that index funds are in any way a sure thing. Whether you invest in index funds or in actively managed funds, you're always taking a risk when you put money in the stock market. Still, the lower expenses associated with index funds have given them an edge over time.

Let's put some numbers on this. In 1996, in the first edition of *Get a Financial Life*, I strongly recommended index funds. Over the next eleven years, the average S&P 500 index fund had an annual return of 9.32%. Meanwhile, the average actively managed stock fund returned 8.34%. In fact, according to experts at mutual fund research firm Morningstar, index funds have beaten their actively managed counterparts over the last twenty years. So, for example, if two people had put \$10,000 into the stock market twenty years ago—one in an actively managed fund and one in an index fund—the index fund investor would have an extra \$9,000 today, once you factor in expenses.
